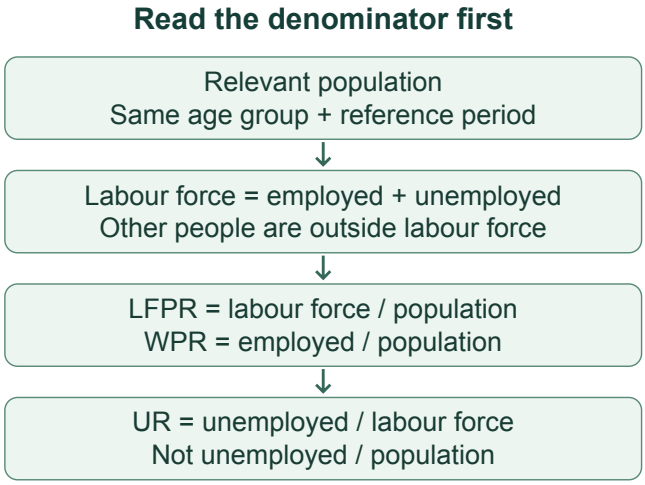
Unemployment and Labour Reforms

1. Labour force, workforce and core indicators

- **Employed:** doing economic work under the survey's reference-period criteria. **Unemployed:** without employment and seeking or available for work under the applicable survey definition. **Labour force = employed + unemployed**; **workforce = employed only**.
- People outside the labour force include those neither working nor seeking/available for work, such as some students and persons occupied exclusively in domestic duties. Unpaid work in a family enterprise can count as employment; unpaid domestic services are a different category. Statistical employment is about economic activity, not the occupation's legality or whether cash wages are received.
- The book's **15-60** working-age boundary is not universal: the main PLFS figures below cover **age 15 and above**, without an upper limit. Unemployment may be temporary **or persistent**.
- **Labour supply:** hours/person-days offered at a wage; can change without changing the number of workers. **Labour force:** people participating; **workforce:** people employed. The assertion that labour force is unrelated to wages is too strong: wages can affect participation.

Indicator	Formula	Denominator trap
Unemployment rate (UR)	Unemployed / labour force × 100	Not total population
Labour force participation rate (LFPR)	Labour force / relevant population × 100	Same age group and survey status
Worker population ratio (WPR)	Employed / relevant population × 100	Employment participation
Proportion unemployed	Unemployed / relevant population × 100	Different from UR
Employment intensity	Workers / real GDP	Not employment elasticity
Employment elasticity	% change in employment / % change in real output	A ratio, not a percentage



LFPR and WPR use population; UR uses labour force.

- Identity: **WPR = LFPR × (1 - UR/100)**. If population = 1,000, labour force = 600 and employed = 570: **LFPR 60%; WPR 57%; UR 5%**; unemployed/population = **3%**.
- A low UR can coexist with low LFPR, disguised unemployment, low earnings or poor-quality work. Discouraged workers leaving the labour force can lower measured unemployment without improving job access.
- Causes in India: insufficient productive jobs; skill/job mismatch; regional and social barriers; demographic pressure; weak education/training links; slow structural transformation and uneven policy implementation.

2. Measuring unemployment: reference periods

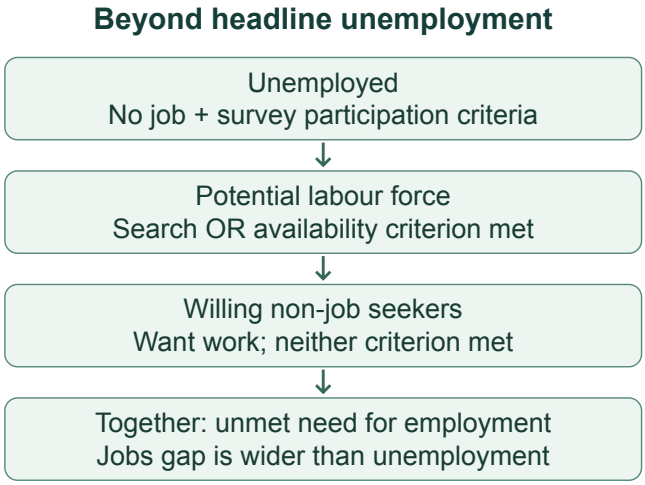
Approach	Reference / rule	Best use and limitation
Usual principal status (UPS / ps)	**365 days**; major-time activity determines principal status	Longer-term attachment; can miss intermittent unemployment
Usual status (ps+ss), also called UPSS	Principal status plus subsidiary economic work of **30 days or more** during preceding 365 days	Broader employment identification than UPS
Current weekly status (CWS)	**Last 7 days**; at least **1 hour of work on any day** identifies employment	Captures shorter-term changes; intermittent workers can still count as employed
Current daily status (CDS), historical EUS method	Daily activity over **7 days**, expressed in person-days	Captures unemployment within a week and underemployment

- CDS historical rule: **4+ hours of work = full employed day**; **1 to under 4 hours = half employed day**. The remaining half is unemployed only if seeking/available for work; otherwise outside labour force. No work does **not automatically** mean unemployment.

- The **Dantwala Committee (1970)** recommended the activity-status framework; NSS employment surveys used it from **1972-73**. UPS tends to give a lower and CDS a higher estimate because of reference periods and units; this is not an unconditional mathematical ranking for every sample.
- **PLFS began in 2017**, replacing earlier large NSS employment-unemployment rounds; Labour Bureau also ran a separate EUS series. Do not treat all earlier EUS reports as one identical programme.
- First PLFS annual period: **July 2017-June 2018**; education-based stratification and computer-assisted personal interviewing (**CAPI**) improved data collection.
- **From January 2025:** redesigned PLFS provides monthly all-India rural/urban **CWS** indicators, quarterly rural **and** urban CWS estimates, and annual usual-status/CWS estimates. Annual period changed to **January-December**. Design changes limit strict comparability with earlier estimates. MoSPI PLFS redesign

3. Labour underutilisation and the jobs gap

- **Time-related underemployment:** employed people working insufficient hours who want and are available for more work. They remain employed in the headline UR.
- **Potential labour force:** non-employed persons who either seek work but are not currently available, or are available but have not recently sought work. **Willing non-job seekers:** want work but neither actively seek nor are immediately available.
- **ILO jobs gap** includes unemployed people and other non-employed people who want employment. It captures unmet need beyond the UR.
- Wanting a job is broader than fulfilling availability/search conditions for unemployment. National PLFS formulations and strict international classifications should not be assumed identical in every detail.
- The unemployed component is generally more sensitive to the business cycle; the other components can reflect persistent constraints such as care duties and barriers to participation. The unemployment-inflation relationship is often discussed through the **Phillips curve**, but is not a fixed causal law for the entire jobs gap.



The jobs gap includes unmet demand beyond the unemployed.

4. Types of unemployment and vulnerable employment

Type	Defining feature	Example / distinction
Voluntary non-participation	Chooses not to work or seek/accept available work	Usually outside labour force; not automatically counted as unemployment
Structural	Jobs and skills/locations do not match; economic structure changes	Reskilling, mobility and job creation needed
Disguised	Workers exceed productive requirement; removal need not reduce output	**Marginal product of surplus labour ≈ 0**; common in family agriculture, also elsewhere
Frictional	Temporary job-search or matching delay	New entrants and job switchers; layoffs/strikes are not always frictional
Cyclical	Aggregate demand falls in a downturn	Recession-related job loss; can occur in any economy
Chronic	Persistent unemployment over a long period	Weak investment, skills and employment capacity
Technological	Tasks displaced by new production technology	Mechanisation/automation; overlaps structural unemployment
Casual	Intermittent absence of work for workers hired day-to-day	Construction or handling work; daily hiring itself is not unemployment
Seasonal	Work concentrated in specific seasons	Agriculture or tourism outside peak periods

- **Vulnerable employment**, not “vulnerable unemployment”: **own-account workers + contributing family workers**. They are employed but often face weak security, low earnings and limited formal protection. Not every self-employed person is vulnerable: employers are a separate category.
- Disguised unemployment reflects low or zero **marginal**, not necessarily zero **average**, productivity. Seasonal unemployment concerns missing work over time, rather than surplus workers at the same task.

5. PLFS figures: attach age, period and status

All figures below: **persons aged 15+**. LFPR, WPR and UR are percentages.

Annual July-June period	Usual LFPR / WPR / UR, all India	CWS LFPR / WPR / UR, all India
2021-22	**55.2 / 52.9 / 4.1**	**51.7 / 48.3 / 6.6**
2022-23	**57.9 / 56.0 / 3.2**	**54.6 / 51.8 / 5.1**
2023-24	**60.1 / 58.2 / 3.2**	**56.4 / 53.7 / 4.9**

Area, 2023-24	Usual LFPR / WPR / UR	CWS LFPR / WPR / UR
Rural	**63.7 / 62.1 / 2.5**	**58.9 / 56.5 / 4.2**
Urban	**52.0 / 49.4 / 5.1**	**50.8 / 47.4 / 6.7**

Gender, 2023-24	Usual LFPR / WPR / UR	CWS LFPR / WPR / UR
Male	**78.8 / 76.3 / 3.2**	**77.5 / 73.8 / 4.8**
Female	**41.7 / 40.3 / 3.2**	**35.6 / 33.8 / 5.0**

- **2017-18 → 2023-24, usual:** rural LFPR **50.7** → **63.7**, WPR **48.1** → **62.1**, UR **5.3** → **2.5**; urban LFPR **47.6** → **52.0**, WPR **43.9** → **49.4**, UR **7.7** → **5.1**. Male LFPR/WPR/UR **75.8/71.2/6.1** → **78.8/76.3/3.2**; female **23.3/22.0/5.6** → **41.7/40.3/3.2**.
- **2017-18 → 2023-24, CWS:** rural **48.9/44.8/8.4** → **58.9/56.5/4.2**; urban **47.1/42.6/9.5** → **50.8/47.4/6.7**; male **75.1/68.6/8.7** → **77.5/73.8/4.8**; female **21.1/19.2/9.0** → **35.6/33.8/5.0**.
- Book's older **Labour Bureau 2016-17 UPS** figures: rural **5.2%**, urban **6.1%**, overall **5.4%**; male **4.2%**, female **9.2%**. The book's prose says rural UR is higher, contradicting its own table. Other old claims: LFPR **51.2%**, WPR **47.8%**, about **75% male**, **70% rural** workforce; female worker share about **30% rural / 20% urban**. These figures are not a current PLFS snapshot and lack a consistent denominator in the extract.
- **CMIE June 2024:** book reports overall UR **9.2%**, urban **8.9%**, rural **9.3%**. CMIE is a private Mumbai-based data provider; its methods and monthly estimates differ from PLFS. Do not interpret the gap as a direct contradiction.

Calendar-year PLFS 2025 update

- Usual-status age 15+: **LFPR 59.3%; WPR 57.4%; UR 3.1%**. Male/female LFPR **79.1/40.0%**, WPR **76.6/38.8%**; UR **3.1%** for both.
- Youth age 15-29 UR **9.9%**; secondary-and-above educated age 15+ UR **6.5%**. Employment status: self-employed **56.2%**, regular wage/salaried **23.6%**, casual **20.2%**. Agriculture accounts for **43.0%** of employment; manufacturing **12.1%**.
- This is a **calendar-year, redesigned survey**. Do not mechanically compare it with July-June 2023-24 as a continuous unchanged series. PLFS 2025 official release

6. Institutions and data sources

Institution / headquarters	Function to recall
Labour Bureau / Chandigarh	Labour statistics; CPI-IW, CPI-AL/RL, wages, industrial disputes, closures, retrenchment and layoffs; labour intelligence, research and evaluation
DGFASLI / Mumbai	Directorate General Factory Advice Service and Labour Institutes; established **1945**; factory safety advice, training and coordination
DGMS / Dhanbad	Directorate General of Mines Safety; mine occupational safety and health
DTNBWED / New Delhi	Dattopant Thengadi National Board for Workers Education and Development; established **1958**; workers' education across organised, unorganised and rural sectors; earlier headquartered in Nagpur
V.V. Giri National Labour Institute / Noida	Autonomous labour research, training, education and consultancy body; **1974**
Indian Labour Archives / Noida	At VVGNLI; **1998**, preservation/access to working-class historical records

Survey / report	Producer and coverage	Limitation / use
PLFS	NSO, MoSPI; household employment and unemployment	Reference period and age must match
Earlier EUS	NSS employment surveys and separate Labour Bureau series	Distinguish their samples and years
QES	Labour Bureau; establishments with **10+ workers**, nine selected non-farm sectors	Not all employment in India
ASUSE	NSO, MoSPI; unincorporated non-agricultural manufacturing, trade and other services, excluding construction	Establishment characteristics and employment
Payroll reporting	MoSPI; EPFO, ESIC and NPS administrative subscriptions	Enrolment/formalisation ≠ unique net new jobs; avoid double-counting across schemes
Occupational Wage Survey	Labour Bureau; selected services, plantations, mines and manufacturing	Occupational wage data; WRI weights
Wage Rate Index	Labour Bureau; **2016 = 100**, 37 selected industries in book	Wage-rate change; not CPI or number of jobs
Other Labour Bureau reports	Worker conditions including SC/ST, unorganised industries, minimum-wage evaluation; disputes, absenteeism, closures, retrenchment, layoffs	Institutional association is a PYQ cue

- **QES January-March 2022:** estimated **3.18 crore**, rounded **3.2 crore** workers; manufacturing largest contributor; **86.4% regular**, **1.9% self-employed**; women **31.8%**, men **68.2%**. Nine sectors: manufacturing, construction, trade, transport, education, health, accommodation/restaurants, IT/BPO and financial services. The **83%** benchmark refers to employment in these sectors among establishments with 10+ workers in the **2013-14 Economic Census**, not 83% of India's entire workforce. Official QES release
- EPFO net payroll additions quoted by book: **61.1 lakh FY2018-19 → 131.5 lakh FY2023-24**. Includes both employment and formalisation effects; registrations alone cannot prove job creation.
- **ILO WESO Trends 2025:** global UR **5.0% in 2024** versus **5.1% in 2023**. Book quotes high-/low-income-country UR **4.5/5.7%** and men's jobs-gap rates **7.1/15.2%**. Keep report year, estimate year, gender and country grouping; an unemployment rate and jobs-gap rate have different scopes. ILO WESO 2025
- DTNBWED head-office location: official RTI manual.

7. Occupational structure and time use

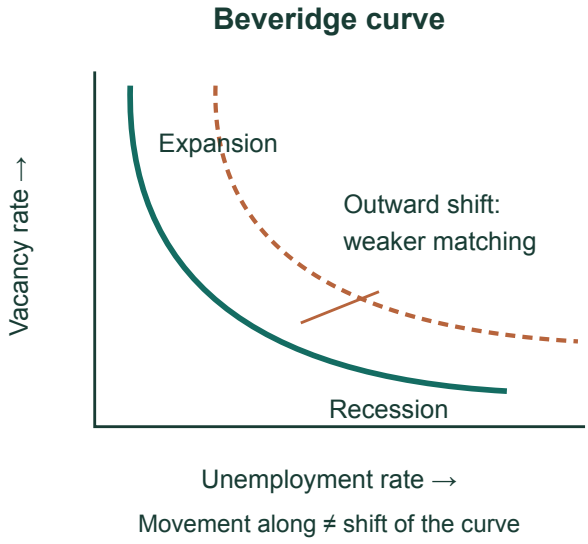
Workforce, book's 2023-24 classification	Primary	Secondary	Tertiary
All India	**44.5%**	**25.6%**	**29.9%**
Rural	**57.3%**	**22.8%**	**19.9%**
Urban	**5.8%**	**31.5%**	**62.7%**

- Rural work concentrated in primary activities; urban work in services. Book's long-run comparison: **1950-51 = 72.7/10.0/17.3%**; later rounded **45/25/30%**, labelled 2024-25 without a clear source. Use the trend of structural change; do not substitute the rounded row for an official PLFS year.
- **Time Use Survey (TUS): NSO/MoSPI**, second all-India round **2024**, first **2019**. Measures participation and duration in paid and unpaid activities over a **24-hour** reference day.
- Age 15-59 in employment/related activities: rounded male/female participation **75/25% in 2024**, versus **70.9/21.8% in 2019**. Female participants in unpaid domestic services spent **305 minutes/day in 2024**, down from **315 in 2019**. Caregiving participation: women **41%**, men **21.4%**. These are activity participation/time-use measures, not PLFS LFPR. TUS 2024 release
- Care burdens constrain paid work. Childcare, safe transport, flexible decent work and shared domestic responsibility can improve women's participation. A fall in unpaid minutes alone does not establish why paid work changed.

8. Jobless growth, employment elasticity and Beveridge curve

- **Jobless growth:** output expands with little or inadequate employment expansion. Merely having output growth faster than employment growth does not, by itself, prove no jobs were created; productivity gains normally create such a difference.
- Drivers: labour-saving technology; skill-intensive growth; insufficient labour-intensive manufacturing; weak MSME credit/infrastructure; skill mismatch; disguised employment; poor implementation of labour reforms.

- Services are heterogeneous: IT can be skill-intensive, while tourism, retail and care can absorb much labour. **FDI is not inherently job-destroying**; its net effect depends on sector, technology, linkages and investment. The book's assertion that capital shortage forces labour-saving technology is not a general economic rule.
- Historical elasticity estimates quoted: **0.52 (1972-73 to 1983) → 0.41 (next decade) → 0.29 (1993-94 to 2004-05) → 0.04 (2004-05 to 2011-12)**; agriculture **0.46 → -0.42** across cited first/last periods. These are **dimensionless ratios**, not 0.52% etc.; negative elasticity can mean labour exits a growing sector. The book's 1951-2000 GDP/employment-growth comparisons are broad historical claims, not a current forecast.
- **Beveridge / UV curve:** X = unemployment rate; Y = vacancy rate; usually slopes downward. Recession: move toward **high unemployment, low vacancies**; expansion: reverse. **Outward shift** suggests weaker matching, mismatch or other structural frictions; not merely a cyclical movement.



Recession moves along the curve; matching problems can shift it outward.

9. Casualisation and informal employment

- NSO employment-status groups: **self-employed**, **regular wage/salaried**, **casual labour**. Self-employed includes employers, own-account workers and unpaid helpers in household enterprises.
- **Casualisation:** greater reliance on day-to-day or short-duration hiring. Drivers include rural-to-urban migration without suitable skills, construction expansion and employers' flexible hiring practices.
- **Informal sector ≠ informal employment.** Enterprise classification depends on ownership/size/registration; employment classification concerns social protection, contract and benefits. **Informal jobs exist inside organised/formal enterprises**; regular salary does not guarantee formal protection. The book's simple 10-worker cutoff cannot establish whether every worker is formal.
- Casual workers can be legally eligible for EPF and wage/hour protections when coverage conditions apply. Permanent status does not automatically guarantee actual compliance; not every casual worker receives every benefit.
- Book's **“90% informal / 10% formal”** is a broad, undated approximation, not a current measured split. Migration, skills gaps, firm size, compliance costs, contracting and weak enforcement can increase vulnerability; market reforms alone do not demonstrate a single causal explanation.

- Responses: quality vocational education; apprenticeships; credit and infrastructure for productive self-employment; MSME growth; simpler compliance with effective enforcement; portable social security and migrant-worker support. Self-employment without income/security improvement is not an automatic cure.

10. Employment and skill initiatives

Scheme / institution	Recall purpose
Atmanirbhar Bharat Rojgar Yojana (ABRY)	COVID-era employment/formalisation incentive in Atmanirbhar Bharat 3.0; time-bound, not a permanent universal subsidy
EDLI	Employees' Deposit Linked Insurance; death-in-service insurance for eligible EPF members' beneficiaries, not unemployment allowance
SMILE / Social Justice Ministry	Support for Marginalised Individuals for Livelihood and Enterprise; umbrella rehabilitation including persons engaged in begging and transgender persons
PM-DAKSH / Social Justice Ministry	Pradhan Mantri Dakshta Aur Kushalta Sampann Hitgrahi; skill training for targeted disadvantaged groups through portal/app
PMKVY 4.0 / Skill Development Ministry	Pradhan Mantri Kaushal Vikas Yojana; employable skills, including emerging technologies; book mentions 300+ courses
PMEGP / MSME Ministry, KVIC	Credit-linked subsidy to establish non-farm micro-enterprises and support self-employment
FutureSkills PRIME / MeitY-NASSCOM	Reskilling/upskilling in emerging digital technologies including AI
DDU-GKY / Rural Development Ministry	Deen Dayal Upadhyaya Grameen Kaushalya Yojana; placement-linked skills for poor rural youth, with inclusion provisions; not exclusively SC/ST/minority/women
STRIVE	Skills Strengthening for Industrial Value Enhancement; World Bank-supported project improving ITIs and apprenticeships; retain as project-era initiative

- MGNREGA provides rural wage employment and public works; its jobs should not be assumed identical to private construction-sector employment. Evaluate initiatives through placements, retention, earnings and additional jobs, not training/enrolment totals alone.

11. Labour reform and the four codes

- Labour is mainly in the **Concurrent List**: Union and States legislate. Reform seeks productivity, employment and simpler compliance while protecting wages, safety, collective bargaining and social security; the **Second National Commission on Labour** recommended consolidation.
- **Four codes rationalise 29 central labour laws.** Government made them effective from **21 November 2025**. Distinguish enactment, commencement and specific operational rules/coverage. Official commencement announcement

Code	Laws consolidated	Core provisions
Code on Wages, **2019**	**4**	Minimum wages, timely payment, bonus and gender non-discrimination; Centre fixes floor wage; minimum wages cannot be below the applicable floor
Industrial Relations Code, **2020**	**3**	Trade unions/negotiating arrangements, standing orders, disputes, strike/lockout notice, retrenchment/closure permission where applicable, reskilling fund
Code on Social Security, **2020**	**9**	EPF/ESI and other social security; enabling schemes for unorganised, gig/platform workers and funding contributions
Occupational Safety, Health and Working Conditions Code, **2020**	**13**	Safety, health, working conditions; **8-hour daily work framework**; contract labour; interstate migrants; women's employment with consent and safeguards

- **Correction:** book prints Social Security **8 laws** and OSH Code **2019**. Correct recall: **4 + 3 + 9 + 13 = 29; years 2019 + three 2020 codes**. Social Security Code text
- Gig/platform recognition and funds do not mean every worker immediately receives every contributory benefit. Coverage depends on applicable provisions, notified schemes and implementation.
- **Fixed-term employment, 2018 standing-order rules:** extended provision across sectors; written contract for fixed duration; comparable hours, wages, allowances and proportionate statutory benefits; rule barred conversion of existing permanent posts to fixed-term posts. Expiry of agreed term differs from retrenchment before expiry; the book's “no notice” statement is not a general permission to dismiss anyone without process.
- Trade-off: flexibility and simpler hiring versus repeated short contracts, insecurity, bargaining weakness and evasion. Combine enforceable parity/benefits and skills with predictable hiring rules.

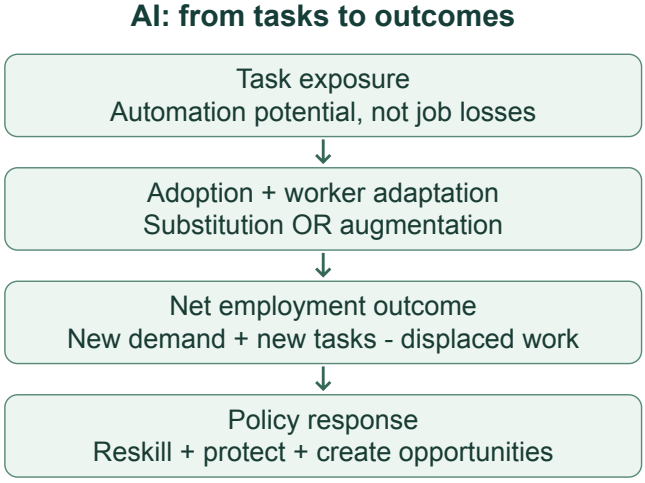
12. Pension and social-security schemes

Scheme	Eligibility / contribution	Benefit
PM Shram Yogi Maan-dhan (PM-SYM), **2019**	Unorganised workers **18-40**, monthly income **≤ ₹15,000**; not covered by EPFO/ESIC or government-funded NPS; not income-tax payers; age-linked member contribution matched by Centre	Minimum **₹3,000/month pension from 60**
National Pension Scheme for Traders, Shopkeepers and Self-Employed, **2019**	**18-40**, annual turnover **≤ ₹1.5 crore**; exclusions include EPFO/ESIC/NPS/PM-SYM coverage and income-tax payers; member and Centre contribute equally	Minimum **₹3,000/month from 60**
Atal Pension Yojana (APY)	Indian citizens **18-40**, bank/post-office savings account; age/pension-linked contributions; **income-tax payers barred from new enrolment from 1 October 2022**	Guaranteed minimum **₹1,000-₹5,000/month from 60**, depending on selected pension/contributions

- PM-SYM and traders' schemes are under the **Labour Ministry**; APY is under the **Finance Ministry/PFRDA**, not the same scheme. PM-SYM eligibility, APY FAQ

- **EPF:** EPFO under Labour Ministry; covered establishments generally **20+ employees**. Standard employee contribution **12% of applicable wages**; employer contribution generally **12%**, split between EPF and EPS for eligible pension members. Book's **3.67% EPF + 8.33% EPS** is the standard illustrative employer split, subject to EPS eligibility and ceiling; not 12% of every person's entire gross salary.
- Book's EPF mandatory wage ceiling **₹15,000** is historical. Government raised it to **₹25,000/month effective 17 September 2026**. Existing membership normally continues when wages rise above the ceiling; do not say existing members can simply opt out. Official EPF ceiling revision
- **ESI:** ESIC's integrated medical/cash protection for covered workers and dependants against sickness, maternity, employment injury, disablement and death. Book's general insured-wage ceiling **₹21,000/month** is distinct from EPF's ceiling; disability-specific exceptions and establishment coverage matter.
- **EDLI = insurance; EPF = savings; EPS/APY/PM-SYM = pensions; ESI = medical and cash protection.** Eligibility and actual coverage, not job label alone, determine benefits.

13. AI and the labour force



AI exposure and net job losses are different concepts.

- AI may automate tasks, complement workers, raise productivity and create new occupations. **Task exposure is not observed job loss**; the book's “75 million jobs at complete risk” is a modelled older claim, not a verified tally of jobs eliminated.
- Risks: displacement of routine IT/service tasks; skill polarisation; wage/income inequality; surveillance and bias; weak regulatory capacity; consumption slowdown if livelihoods suffer. Emerging economies can face adoption and adjustment constraints alongside opportunities.
- **ILO's 2025 analysis emphasises job transformation and augmentation**, with outcomes differing by occupation, gender and digital infrastructure. ILO AI research
- Economic Survey **2023-24** estimated a need for roughly **78.5 lakh additional non-farm jobs annually to 2030**; this is a planning requirement, not measured annual creation.
- Response: foundational education; continuous reskilling; affordable digital access; worker consultation; portable social security; safeguards for bias/privacy; support labour-intensive and care/green sectors; strengthen labour-market institutions. Assess net jobs, earnings and job quality, not productivity alone.

14. PYQs and answer cues

- **Prelims 2022:** industrial disputes, closures, retrenchment and layoffs → **Labour Bureau (c)**.
- **Prelims 2021:** casual workers' PF coverage, working hours/overtime and notified bank-only wage payment → source key **all three (d)**. Apply legal coverage conditions; “casual” does not itself exclude a worker from protections.
- **Prelims 2013:** disguised unemployment → **marginal productivity of labour is zero (c)**.
- **Mains 2023:** structural unemployment → define mismatch; compare usual/CWS/CDS methods and denominators; explain missing underemployment, discouragement, care and job quality; propose higher-frequency surveys, skill/vacancy mapping, better administrative-data integration and comparable reporting.
- **Mains 2015:** jobless-growth debate → compare employment elasticity, sector mix and job quality; distinguish productivity-led output growth from zero jobs; discuss informality/measurement; propose labour-intensive manufacturing, MSMEs, skills and service opportunities with evidence.
- **Recall:** UR denominator = labour force; WPR = population; usual = 365 days, CWS = 7 days; employed ≠ adequately employed; informal job ≠ informal enterprise; enactment ≠ commencement; elasticity is a ratio.